**So, Lung and Associates**
SOLICITORS
蘇 龍 律 師 事 務 所
in association with Ropers Majeski PC (U.S.A.)

15/F, China Taiping Tower, Phases 1 & 2, 8 Sunning Road, Causeway Bay, Hong Kong
香港銅鑼灣新寧道8號中國太平大廈1、2期15樓
Tel No. 電話： 3107 1122, 3896 2600   Fax No. 傳真： 3107 1100
Website 網址： http://www.solung.com   Interchange: DX - 009515 Central 1




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| Your Ref | : | Our Ref | : LP-26185 |
| Date | : 5 March 2024 | Reply to | : Philson Ho |

**BY EMAIL**
Kohle Capital Markets Limited

Attention: Mr. Terry Lam / Mr. Lawrence Li

PRIVATE & CONFIDENTIAL

Dear Sirs,

**Re : Hong Kong legal opinion on licensing obligations under Securities and Futures Ordinance, Cap. 571 ("SFO")**

1. We are instructed by Kohle Capital Markets Limited ("**Company**"), a company incorporated in Mauritius, to give a legal opinion on the Company's licensing obligation in Hong Kong under the SFO as administered by the Securities and Futures Commission ("**SFC**") being the securities regulator of Hong Kong.

## INSTRUCTIONS

2. We are instructed that:-

   (a) The Company is registered under the Financial Services Commission ("**FSC**") for conducting FX/CFD trading business;

   (b) The Company has no physical presence or business office in Hong Kong;

   (c) The Company carries out its front-line trading operation/function through its operation center in Malaysia. Staff responsible for such function, ultimate beneficial owner, CEO, COO are HKID holders and they perform their duties worldwide;

(d) The Company has outsourced certain administrative functions such as IT support, compliance support and operation support to a service company in Hong Kong, namely, Kohle Services Limited (“**HK Service Company**”) which is an independent service company, not related to the Company. The outsource arrangement is pursuant to a support services agreement (“**Service Agreement**”) signed between the parties commencing on and dated 1 April 2020;

(e) The Company does not, either by itself or through agents, target, or market its services to the Hong Kong public in the course of its trading business under its licence with FSC in Mauritius or otherwise; and

(f) The Company has opened a bank account in Hong Kong specifically for receiving client funds from institutional clients in Hong Kong, not for retail clients. It is operated by the HK Service Company as part of its outsourced services.

**QUESTION**

3. We are instructed to give a legal opinion on the Company’s licensing obligation in Hong Kong under the SFO. In particular, you would like us to opine on whether the Company may open and keep that bank account in Hong Kong for receiving funds from institutional clients.

**DOCUMENTS PROVIDED**

4. We have been provided with a copy of the Service Agreement.

5. Save for the Service Agreement, we have not, for the purposes of this legal opinion, examined any contracts or other documents entered into by or affecting any party to these documents or any personal records of any such party. We have not made any independent factual investigation or any other enquiries or searches concerning any party (whether within this firm or otherwise) for the purpose of rendering this legal opinion, except as expressly mentioned herein.

**QUALIFICATIONS & ASSUMPTIONS**

6. For the purpose of this legal opinion, we have relied only on the relevant facts and documents as provided to us above and we have not conducted any independent enquiries or due diligence in respect of such. We have assumed that all information made available to us for our review in connection with the subject matter of this legal opinion is accurate, complete and not misleading in all material respects. There is no adverse material or substantial factors or circumstances which have not been disclosed to us.

7. We are qualified to advise on the laws of Hong Kong only and this advice relates solely to Hong Kong law in force at the date hereof and, therefore, relates to events that exist

as of that time. We are not qualified to advise on laws of other jurisdictions. We express no advice as to the laws of any other jurisdiction and disclaim any obligation to update this legal opinion for any events, and any changes in law or the interpretation thereof, occurring after the date of this legal opinion.

8. This legal opinion is intended to be used in the context which is specifically referred to herein and should be read together with the annexes appended hereto which form an integral part of this opinion and no part should be extracted and referred to independently.

9. This opinion is rendered only to the Company and for the Company's sole benefit. Save for disclosing the opinion to the HK Service Company or the bank in which the Company has opened a bank account, it is not expected to be, and may not be, used, disclosed, or relied upon by the Company for any other purpose or by any other person. Accordingly, our firm is not liable to any persons including HK Service Company and the bank. This opinion is expressly limited to the matters set forth above and we render no opinion, whether by implication or otherwise, as to any other matters.

10. The law as mentioned herein is valid as of the date of this opinion letter.

**OPINION**

*Licensing obligations under the SFO*

11. Part V of the SFO requires corporations carrying on business (or holding themselves out to be carrying on business) in a regulated activity in Hong Kong to be licensed (see section 114 of the SFO). An extract of the relevant sections in the SFO is provided in ***Appendix 1***.

12. Besides, section 115 of the SFO further imposes licensing obligations on any person or corporation that actively markets, whether in Hong Kong or from a place outside Hong Kong, to the public any service that, if provided in Hong Kong, would constitute a regulated activity.

13. Part 1, Schedule 5 of the SFO provides definitions of *"regulated activity"*, which, for the purpose of this opinion, include *"dealing in securities"* (Type 1), *"dealing in futures"* (Type 2) and *"leveraged foreign exchange trading"* (Type 3). In essence, if a corporation carries on a business in Type 1, Type 2 or Type 3 regulated activity in Hong Kong, or markets its service for Type 1, Type 2 or Type 3 regulated activity in or out of Hong Kong, unless being exempted under the SFO, this corporation will be required to apply for a licence under the SFO.

*The circumstances of the Company*

14. The Company deals in investment products for its clients under its licence with the FSC in Mauritius. Assuming any of these investment products come within the definition of *"securities"* or *"futures"* or *"leveraged foreign exchange contracts"* under the SFO, the Company's services, if provided in Hong Kong, will likely be regarded as Type 1, Type 2 or Type 3 regulated activity under the SFO. As a result, if the Company carries on a business, or holds itself out to be carrying on a business, in Hong Kong in these activities, it is obligated to be licensed under the SFO pursuant to section 114.

15. It is well-accepted that section 114 of the SFO has no extra-territorial effect. This position is also adopted by the Securities and Futures Commission (**"SFC"**) in its previous circular, which seeks to clarify that:[1]

> *"The SFO neither imposes upon corporations and individuals an obligation to be licensed in relation to activities which are conducted by them outside Hong Kong, ... It follows that when a licensed corporation or individual conducts activities in a jurisdiction outside Hong Kong, it is necessary for such corporation or individual to ensure that the relevant legal and regulatory requirements of that other jurisdiction are fully complied with."*

16. In the eyes of the SFC, an overseas entity that conducts business activities (even if they amount to regulated activities) outside Hong Kong with a licence issued by an overseas regulator, is not required to apply for a relevant licence under the SFO. The overseas entity only needs to comply with the regulatory requirements of the other jurisdiction (outside Hong Kong) in which business is conducted. In this regard, based on the instructions, the Company holds a relevant licence in Mauritius and does trading operation/function through its operation centre in Malaysia.

17. While there are no statutory definitions, the components of *"carrying on business"* and *"holding out"* under section 114 of the SFO have been understood by the courts of Hong Kong as a question of fact and degree in the circumstances of the case.[2]

18. In particular, when interpreting section 114 of the SFO, the court in *Securities and Futures Commission v Unknown persons trading as Broadspan Securities et al*, [2021] HKEC 2336, adopted the interpretation of the term *"carrying on business"* as applied by the Court of Final Appeal in the tax law context:[3]

[1] SFC's Circular clarifying the licensing obligations of corporations and individuals and more particularly those conducting business outside Hong Kong dated 1 April 2020
[2] see *Securities and Futures Commission v Maxim Capital Ltd and Anor* [2022] HKCU 2621, [2022] HKCFI 1518, at [48]-[52]
[3] *Lee Yee Shing v Commissioner of Inland Revenue* [2008] 11 HKCFAR 6 at [38]

*"The question whether something amounts to carrying on of a trade or business is a question of fact and degree to be answered by the fact finding body upon a consideration of all the circumstances."*

19. We are instructed that apart from the outsourced functions to the HK Service Company, the Company has no presence in Hong Kong in relation to its services or business. In particular, the functions performed by the HK Service Company on behalf of the Company, as set out in Schedule 1 to the Service Agreement, concern only the internal and administrative affairs of the Company and do not touch upon any client-facing or investment activities defined as *"dealing in securities"* and/or *"dealing in futures"* and/or *"leveraged foreign exchange trading"* under Part 1, Schedule 5 of the SFO, namely, (for Type 1 and Type 2) making or offering to make an agreement with another person, or inducing or attempting to induce another person to enter into or to offer to enter into an agreement in relation to securities and/or futures contracts.

20. It is also noteworthy that section 113 of the SFO expressly carves out the work ordinarily performed by an accountant, clerk or cashier from the scope of licensing obligations. Moreover, the SFC normally will not license back-office staff (i.e. compliance officer and in-house legal counsel)[4] and generally regards settlement staff as back office staff.[5] Further, the Company holds a licence with FSC in Mauritius, and carries out its front-line trading operation/function through its operation center in Malaysia.

21. **Considering the circumstances, it appears to us that there is no element in the Company's situation that can be regarded as amounting to *"carrying on business"* or *"holding itself out as carrying on business"* in Hong Kong in relation to its regulated services under the licence with FSC in Mauritius. As a result, on the balance, we are of the view that the Company does not require a licence in Hong Kong under section 114 of the SFO. Accordingly, the Company may open and keep the bank account in Hong Kong for receiving funds from institutional clients.**

22. Please note that our view in the above paragraph is subject to the condition that the staff responsible for the front-line trading operation/function (e.g. CEO, COO etc.) does not carry out their duties while they are within Hong Kong. In the event that they do carry out their duties within Hong Kong (which, we are instructed, is not the case), it is possible that the SFC may regard the Company as engaging its business in Hong Kong as a result of which there would be a SFC licensing obligation for the Company.

23. As a side issue, we have also considered the possibility of the Company being regarded as marketing its business/services to the public in Hong Kong thereby triggering a Hong Kong SFC licensing obligation. The reason is that we are instructed that the

[4] Paragraph 1.4.22 of the Licensing Handbook issued by the SFC
[5] SFC's circular to Licensed Corporations Licensed for Dealing in Securities-Protecting Client Assets Against Internal Misconduct

Company uses a bank account in Hong Kong for receiving client funds from institutional clients in Hong Kong. Hence, one could question if there is no marketing of services in Hong Kong, there would have been no clients or client funds from Hong Kong at all.

24. In this connection, the law is that if the Company actively markets its services to the public in Hong Kong, for example, promoting its services to Hong Kong investors or conducting internet activities that target Hong Kong investors, it is also obligated to be licensed.[6]

25. Based on our instructions, the Company does not, and has no plan to, either by itself or through agents, target, approach, solicit, or market its services to, customers from Hong Kong in relation to the business under its licence held with the authority in Mauritius. Clients from Hong Kong could come by way of *"reverse solicitation"* which term generally means that the Company does not do marketing activity or actively market its services in Hong Kong (or to Hong Kong public) but there is nothing to stop potential Hong Kong clients to reach out to the Company's website or business centers overseas and request for services.

26. We are further instructed that another reason for having Hong Kong clients is that Hong Kong is a hub for financial activities and sometimes the Company deals with offshore clients which will on-board with their HK company. It is a normal practice since HK company has more freedom to use any kind of financial services without long and hideous KYC process.

27. **In the absence of an *"active marketing"* element, the Company is not required to be licensed in Hong Kong under section 115 of the SFO.**

Yours faithfully,

SO, LUNG & ASSOCIATES
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Encls.

[6] These examples are based on SFC's FAQ on "Actively markets" under section 115 of the SFO